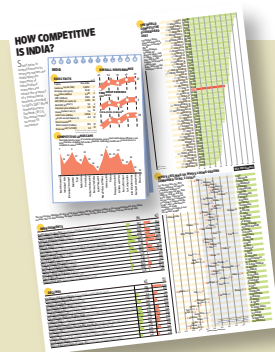


HOW COMPETITIVE IS INDIA?

The Lausanne, Switzerland-based IMD released its 2007 World Competitiveness Yearbook (WCY) on Thursday. The annual report ranked India 27th, the same as in 2006. WCY analyses and ranks the ability of nations to create and maintain an environment that sustains the competitiveness of enterprises. Here's how India fared in the top parameters.

WCY 2007 Ranking

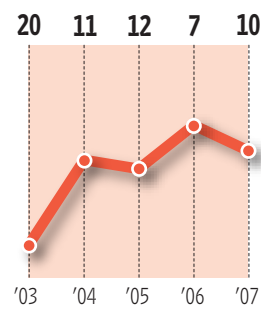
1	USA	26	CHILE
2	SINGAPORE	27	INDIA
3	HONG KONG	28	FRANCE
4	LUXEMBOURG	29	KOREA
5	DENMARK	30	SPAIN
6	SWITZERLAND	31	LITHUANIA
7	ICELAND	32	CZECH REPUBLIC
8	NETHERLANDS	33	THAILAND
9	SWEDEN	34	SLOVAK REPUBLIC
10	CANADA	35	HUNGARY
11	AUSTRIA	36	GREECE
12	AUSTRALIA	37	JORDAN
13	NORWAY	38	COLOMBIA
14	IRELAND	39	PORTUGAL
15	CHINA	40	SLOVENIA
16	GERMANY	41	BULGARIA
17	FINLAND	42	ITALY
18	TAIWAN	43	RUSSIA
19	NEW ZEALAND	44	ROMANIA
20	UNITED KINGDOM	45	PHILIPPINES
21	ISRAEL	46	UKRAINE
22	ESTONIA	47	MEXICO
23	MALAYSIA	48	TURKEY
24	JAPAN	49	BRAZIL
25	BELGIUM	50	SOUTH AFRICA



On Thursday, Mint presented the first part of IMD's 2007 WCY, and areas of improvements and declines in India's overall performance. To see that, go to <http://www.livemint.com/globalbiz.htm>



ECONOMIC PERFORMANCE



Sub-factor rankings

Domestic economy	7
International trade	31
International investment	22
Employment	8
Prices	27

Strengths

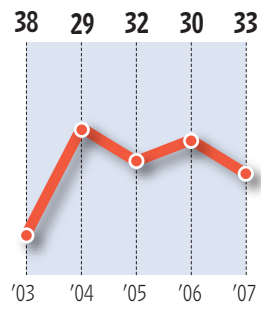
	Rank
Relocation of R&D facilities (is not a threat to the future of the economy; Survey)	2
Relocation of production (is not a threat to the future of the economy; Survey)	2
Real GDP growth (Percentage change, based on national currency in constant prices)	4
Long-term unemployment (Percentage of labour force)	4
Relocation of services (is not a threat to the future of your economy; Survey)	5

Weaknesses

GDP (PPP) per capita (Estimates; \$ per capita at purchasing power parity)	55
GDP per capita (\$ per capita)	55
Exports of goods (Percentage of GDP)	52
Portfolio investment assets (\$ billion)	50
Trade to GDP ratio (Exports+Imports)/(2 x GDP)	48



GOVERNMENT EFFICIENCY



Sub-factor rankings

Public finance	33
Fiscal policy	13
Institutional framework	32
Business legislation	36
Societal framework	47

Strengths

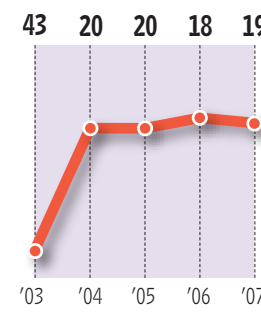
	Rank
Consumption tax rate (Standard rate of VAT/GST)	1
Total reserves (Gold and official reserves [gold=SDR 35 per ounce], SDR billion)	6
Collected total tax revenues (Percentage of GDP)	10
Management of public finances over the next two years (is likely to improve; Survey)	13
Real short-term interest rate (Real discount/bank rate)	14

Weaknesses

Government budget surplus/deficit (Percentage of GDP)	51
Foreign investors (are free to acquire control in domestic companies; Survey)	48
Customs' authorities (do facilitate the efficient transit of goods; Survey)	47
Tax evasion (does not hamper business activity; Survey)	46
The public service (is independent from political interference; Survey)	46



BUSINESS EFFICIENCY



Sub-factor rankings

Productivity and efficiency	28
Labour market	2
Finance	24
Management practices	21
Attitudes and values	13

Strengths

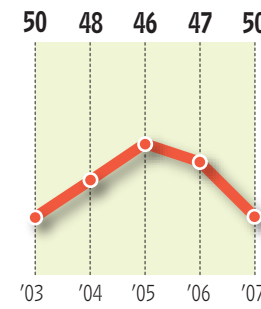
	Rank
Compensation levels (Estimates: total hourly wages for mfg workers+benefits, in \$)	3
Working hours (Average number of working hours per year)	4
Remuneration of management (Total base salary+bonuses+long-term incentives, in \$)	5
Attracting and retaining talent (is a priority in companies; Survey)	5
Remuneration in services professions (Gross annual income+bonuses, in \$)	6

Weaknesses

Labour productivity (PPP) (Estimates: GDP (PPP) per person employed per hour, in \$)	55
Overall productivity (PPP) (Estimates: GDP (PPP) per person employed, in \$)	54
Female labour force (Percentage of total labour force)	51
Labour force (Percentage of population)	50
Investment risk (Euromoney country credit-worthiness scale from 0-100)	45



INFRASTRUCTURE



Sub-factor rankings

Basic infrastructure	36
Technological infrastructure	37
Scientific infrastructure	26
Health and environment	52
Education	54

Strengths

	Rank
Mobile telephone costs (Mobile cellular tariffs in \$ per 1 minute-local)	3
Youth interest in science (is strong; Survey)	3
Internet costs (Cost for 20 hours dial-up per month, in \$)	3
Qualified engineers (are available in the labour market; Survey)	3
Science in schools (is sufficiently emphasized; Survey)	4

Weaknesses

Pupil-teacher ratio (primary education) (Ratio of students to teaching staff)	55
Mobile telephone subscribers (Number of subscribers per 1,000 inhabitants)	55
Internet users (No. of users per 1,000 people/Source: Computer Industry Almanac)	55
Computers per capita (No. of PCs per 1,000 people/Computer Industry Almanac)	55
Human devt index (Economic+social+educational indicators/Human Devt Report)	54